CLT · TID · VSP · CEB

CLT Distribution Proposal

Hybrid textile printing (screen + digital) — Mexico and Latin America

For: Dongguan Changlian New Material Technology Co., Ltd. (CLT)

Prepared by: TID México · VSP Printing, Inc. · CEB

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Note: figures marked as "estimate" are our own calculations based on public sources and must be confirmed with CLT's quotation and commercial terms.

CONFIDENTIAL DOCUMENT

1. Executive summary

TID México, VSP Printing, Inc. and its subsidiary CEB propose to become the distributor of CLT (Dongguan Changlian New Material Technology Co., Ltd., SZSE 301618) in Mexico, with expansion into the United States and Latin America. The goal is to introduce and locally support CLT's hybrid printers (screen + digital) and its consumables: silicones, water-based pastes and inks.

- Opportunity: we found no distributor of Chinese hybrid printing with a formal presence in Mexico (local inventory, spare parts, technicians and chemicals).
- Market: ~102,500 textile businesses; ~1,400–1,900 reachable customers (medium/large companies and shops with automatic carousels); 30–90 potential hybrid lines in 5 years (estimate).
- Timing: Mexico's 2026 tariffs (up to 35% on garments from non-FTA countries) favor domestic manufacturers, who need to differentiate through added value and fast response.
- Partner: 30+ years of combined industrial printing experience, a consumables-and-service business model, presence in Mexico (Querétaro) and the U.S. (Los Angeles), and an in-house importer incorporated in Mexico (CEB).
- Proposed initial investment (base case): ~US$262k, with estimated payback during year 3.

2. Scope and methodology

This study focuses on Mexico as the first stage; the United States and Latin America are presented as expansion stages. Sources: CLT's international website (garmentprintingpro.com), its 2025 annual report, INEGI and CANAINTEX statistics, public tariff information and industry sources (FESPA México, manufacturers and distributors).

Parameter	Content
Market definition	Hybrid equipment, consumables (silicones, pastes, inks) and technical service; substitutes: traditional screen printing, DTG, DTF, sublimation
Segments	Export maquiladoras (IMMEX), domestic brands, medium/large screen-print shops, promotional, uniforms and sportswear
Sizing	Total, serviceable and obtainable market (TAM / SAM / SOM) with conservative, base and optimistic scenarios
Geography	Clusters: State of Mexico/Mexico City, Jalisco, Puebla/Tlaxcala, Guanajuato, Baja California, La Laguna, Aguascalientes, Nuevo León, Yucatán
Competition	DTG makers and distributors, automatic carousels, Chinese hybrids and consumables
Economics	Distributor investment, margins, break-even and payback
Regulation	2026 tariffs, import through CEB, USMCA, electrical standards (NOM)

Figures marked as "estimate" are our own calculations and must be confirmed with CLT's quotation and terms.

3. CLT: manufacturer profile

Dongguan Changlian New Material Technology Co., Ltd. (CLT) was founded in 2009 in Liaobu, Dongguan (Guangdong). It has been listed on the ChiNext board of the Shenzhen Stock Exchange since September 2024

(code 301618). It is recognized in China as a leader in water-based printing pastes and offers an integrated materials-and-equipment solution for textile printing.

2025 indicator	Value	Approx. USD
Total revenue	¥568.1 million	~US$80M
Water-based printing pastes	¥304.4M (53.6%)	~US$43M
Silicone materials	¥117.7M (20.7%)	~US$17M
Water-based resins	¥45.9M (8.1%)	~US$6M
Printing equipment	¥37.0M (6.5%)	~US$5M
Export sales	¥103.5M (18.2%)	~US$15M
Net profit attributable	¥40.6 million	~US$6M
Channel: traders / manufacturers	49.5% / 50.5%	

Source: CLT 2025 annual report (Shenzhen Stock Exchange). Reference exchange rate: ¥7.1 per US$.

Portfolio relevant to this proposal

- Hybrid printers: CLT-012R/015R/018R (Ricoh heads, up to 1800 dpi, 450 pcs/h), CLT-014B/016B/018B (Brother 680, 400 pcs/h), CLT-005S (Star Light white).
- Automatic oval presses: SM45-85, SM60-85, SM70-95 (up to 800 pcs/h, ±0.02 mm).
- 6-station DTG with inline pre-treatment and the CLT-6900 industrial DTF series.
- Effect silicones: high-density / 3D (S-1701), rounded-edge (S-1703), glossy glass-like (S-1704-1), special-purpose (S-1714-1); water-based pastes, puff pastes and DTG/DTF inks.
- Certifications: OEKO-TEX, GOTS, ISO 9001 and ISO 14001.

Hybrid technology

Digital stations are mounted on an oval screen-printing press. The white underbase is printed with (low-cost) screen paste and the color with digital heads, so screen effects (puff, foil, glitter, discharge, glass-like or embroidery-like silicone) can be combined in a single pass with photographic gradients. CLT reports ink savings of 40–70% versus pure DTG and profitability on runs of 500 to 5,000 pieces.

4. CLT’s commercial model

CLT uses equipment as the gateway to recurring chemical consumption, which makes up most of its revenue. Its 2026 plan is to consolidate Southeast Asia and expand in Europe, the Americas, the Middle East and Africa by building out its overseas agent network.

Element	How CLT applies it
Trade shows with live demos	Running production line, tests on the customer's fabric and artwork, same-day written quote, show-only packages (PRINTING United, Stitch & Tex Egypt)
Turnkey package	Machine + matched chemistry + installation + training + freight and import paperwork, at one price
Phased investment	Start with the press and add digital stations; 2–3 season plans
ROI-based selling	Ink savings, fewer operators, less floor space; customized ROI calculation
Linked consumables	Warranty requires genuine CLT parts and chemistry
Application lab	Simulates the customer's production and recommends the full process
Digital lead capture	Multilingual site, forms and WhatsApp with a response in under 2 hours

What is missing in Mexico today: local technical service, in-country spare parts and chemistry inventory, Spanish-language support and a demo showroom. These are exactly what our group brings.

5. Mexican market overview

Indicator	Data	Source
Textile & apparel GDP	MXN 91,165 million; 1.75% of manufacturing GDP	CANAINTEX, 2025
GDP composition	Apparel 56%, textile inputs & finishing 27%, textile products 17%	CANAINTEX
Businesses	102,492	INEGI 2023
Jobs	519,313 (225k formal)	INEGI 2022 / CANAINTEX
Company size	Micro 95.6%, small 3.3%, medium 0.8%, large 0.3%	INEGI, 2019 Census
Exports	US$9.3 billion; 89% to the U.S.	INEGI 2023
Imports	US$13.3 billion; 35% from China	INEGI 2023
Trend	GDP -8.4% in 2023; ~20k jobs lost in 2024	INEGI / FESPA

The industry is under pressure from low-cost imports and informality. Domestic manufacturers are responding by differentiating: customization, short runs with fast delivery and high-value effects. Hybrid printing directly addresses this need. The tariffs in force since January 2026 strengthen the position of those producing in Mexico.

6. Market size (estimate)

Level	Definition	Estimated size
Total market (TAM)	All textile and apparel businesses	~102,500
Serviceable market (SAM)	Medium and large companies (~1,130) plus screen-print shops with automatic carousels (300–800)	~1,400–1,900 customers
Obtainable market (SOM, 5 years)	2–5% adoption of the serviceable market	~30–90 hybrid lines

- Equipment: 30–90 lines × US$120–250k landed in Mexico = US$3.6–22 million over 5 years (estimate; to be confirmed with CLT's quotation).
- Consumables: US$1,500–5,000 per line per month (hypothesis to validate with shops). With 50 lines: US$0.9–3 million per year, plus silicone and paste sales to shops without hybrid equipment.
- Competitor price reference: M&R Cobra automatic press, 10 stations / 8 colors, ~US$88k in the U.S.

Market value: digital textile printing in Mexico

Indicator	Figure	Source
2024 size	US$116.5 million (2.0% of the global market)	Grand View Research
2030 forecast	US$217.6 million; 11.5% annual growth (2025–2030)	Grand View Research
Leading process	Direct to fabric (roll): 74% of 2024 revenue	Grand View Research
Fastest-growing segment	Direct to garment (DTG): the most dynamic and profitable	Grand View Research
Latin America	~11.8% annual growth to 2034; Brazil and Mexico lead	Cannata Report
Main digital competitor	Epson claims ~60% of digital textile printing in Mexico (no independent study)	Epson at FESPA, Sept. 2026

- What it means for CLT: the digital market is small (US$116.5 million) but grows 11.5% a year, and the fastest-growing segment is direct-to-garment printing, where the hybrid printer competes.
- This figure covers digital printing only. CLT's opportunity is larger because the hybrid also replaces screen-printing stations and sells chemistry (silicones and pastes) to the screen-printing market, which this figure leaves out.
- Against our estimate: the base projection (section 14) sells ~US$0.4 million in year 1 and ~US$1.8 million in year 3 (equipment plus consumables), about 1% of the digital market and ~3–4% of the garment-printing share (~26% of the total). With 30–90 lines installed in 5 years, annual sales would reach US$2–8 million: 1–3.5% of the 2030 market. A conservative, achievable target.
- The sublimation market (US$468 million in 2025) includes paper, heat presses, signage and promotional products; it is not comparable to this figure.

7. Priority regions

Priority	Region	Rationale
1	State of Mexico and Mexico City	Largest concentration of printers, brands, promotional and corporate buyers
1	Jalisco (Guadalajara, Zapotlanejo)	Fashion, sportswear and domestic brands
1	Baja California (Tijuana, Ensenada, Tecate)	Export screen printing for U.S. brands (Disney, Fanatics, Columbia); joint TID + VSP coverage from the border
2	Puebla and Tlaxcala	Export maquila and knitwear
2	Guanajuato (Moroleón, Uriangato, León)	Knitwear and wholesale; 1–2 hours from TID in Querétaro
3	La Laguna, Aguascalientes, Nuevo León, Yucatán	Denim, IMMEX maquila and uniforms

Preliminary ranking by concentration of medium and large industry; to be validated with INEGI's DENUE business directory.

Priority accounts: the 80/20 rule

Out of the 82 prospects identified in Mexico (47 printers and manufacturers, and 35 OEMs and contract manufacturers), we selected the top 20% by potential: production volume, in-house decoration, exports and fit with the hybrid line. These 17 accounts will receive 80% of the first-year sales effort (visits, demos and tests on their own fabric).

Priority prospects: printers and manufacturers (9 of 47)

Company	City	What they do	Subsector
ADN Serigrafía	Naucalpan, Edo. Méx.	Contract screen printing: 130,000+ pcs/week, up to 18 colors, production for the U.S. and Canada	Printing and screen printing
Serigrafía Textil Automatizada (KW)	Puebla, Pue.	Automated volume screen printing: campaigns, sportswear and promo; 30+ years	Printing and screen printing
Manufacturas Textiles RF (Reitex)	Guadalupe, N.L.	Integrated yarn-to-garment plant; high-volume campaign and promo T-shirts	Promotional
Diermi (Playeras Mindy)	Zapopan, Jal.	Sports and promo T-shirts in a 5,000 m^2 automated plant; exports to the U.S.	Sportswear
GOCA'S	Ciudad de México	Large-scale T-shirts and hoodies with in-house screen, sublimation and embroidery; 25+ years	Promotional
SerigrafiarteSP	Ciudad de México	Contract screen printing (plastisol, water-based, discharge), DTF and sublimation for factories and brands	Printing and screen printing
Grupo Martex	Naucalpan, Edo. Méx.	High-volume textile maker; uniforms (directory cites FIFA uniforms)	Uniforms and sportswear
Uniformes Carmen	Guadalajara, Jal.	Uniforms with screen, embroidery and transfer; volume print contracting; 30+ years	Uniforms
Charly (Grupo Charly)	León, Gto.	Sports brand: jerseys and licensed apparel for Liga MX clubs (León, Pachuca, Atlas, Santos)	Sportswear / licensing

Priority OEMs: export contract manufacturing (8 of 35)

Company	City	What they do	Brands and customers
Vertical Knits	Baca, Yuc.	Knitwear with in-house screen printing and embroidery; 16–25 million garments a year	Nike, Fanatics, Tommy Hilfiger, Patagonia
Ink Throwers de México	Tijuana, B.C.	Contract screen printing for retail and licensing: ~50,000 prints/day, ~538 workers	Disney, Levi's, Marvel
MD International Baja	Ensenada, B.C.	Mass printing and sewing; 1,200–1,300 workers	Fanatics, Hurley, REI
Fortune Fashions Baja (Mad Engine)	Ensenada, B.C.	Screen printing plant for licensed T-shirts for U.S. retail	Mad Engine Global, Disney
SOIR Textiles (TJ Factory Clothing)	Ensenada, B.C.	Garment printing, flatbed screen printing and dyeing in two plants	Columbia, Disney
Factory 1 (Factory1 Group)	Ensenada, B.C.	Full package with flatbed screen printing, dyeing and washing; 702 workers	Columbia, Disney
Codipsa (San Fernando ScreenPrinting)	Puebla, Pue.	Vertical knit (knitting, dyeing, finishing, printing) for fast fashion; 35+ years exporting	Puma, Gap, Hot Topic, Macy's, Disney
Industrias Manufactureras MYR	Irapuato, Gto.	Mexico national team, Liga MX and MLS jerseys; 1,658 workers; exports to the U.S. and South America	adidas, Puma

Next tier (OEM): Grumax / BEX Bordados y Estampados (Xalapa), California Cutting & Sewing (Puebla), Confecciones Clabeck / JHK (Tlalnepantla; audited by Inditex and C&A), Private Label Tehuacán (PVH, J.Crew, L.L.Bean), Augusta Sportswear de México (Fanatics), Zentrix (Nike, Lululemon) and Baja Skiva Screen Printing (Disney).

Sources: company websites, Open Supply Hub and industry directories. Brands and customers per public sources; to be confirmed at the first visit.

8. Competition

Type	Players	Observation
High-end DTG / digital	Kornit (via Sun Digital México)	DTG leader; high investment; established service
Automatic presses	M&R, ROQ, MHM, Anatol, Workhorse	Installed base in Mexico: natural customers for add-on digital stations
Chinese hybrids	Textalk, Hanglory and others	Sold mainly via social media and WhatsApp, with no visible local structure
Silicones and pastes	ScreenTec (Siltex), Avient (Wilflex, Rutland), Matsui and budget brands	Direct competition in consumables
Substitutes	DTF, sublimation, traditional screen printing	DTF is growing fast in short runs

Competitors in inks, pastes and silicones

Brand (origin)	Presence in Mexico	Reference price	Threat
Avient: Wilflex, Rutland, Union Ink, Printop (U.S.)	Casa Díaz and dealers; standard in export contract manufacturing	High: ~US$40–60/gallon for mixing colors; specialties US$90–310/gallon (U.S. stores)	High with OEMs
Grupo Sánchez / ScreenTec: Seritex, Aquatex, Siltex (Mexico)	Domestic manufacturer with a dealer network	Low: MXN 159–217/kg retail (Seritex)	High with shops
Matsui (Japan)	Casa Díaz; benchmark for water-based and discharge	Mid-high; bases from ~US$8–9/kg in Central America	Mid-high
International Coatings (U.S.)	Imported through U.S. dealers	Mid	Mid
Marabu (Germany)	Graficolor and others; strong in graphics, pad and digital printing	High	Low: limited textile range (nylon, synthetics)
RUCO / RUCOINX (Germany)	Tampomex (dealer)	High	Low: industrial inks for plastic, glass and metal
Tampoprint (Germany)	Mexican subsidiary; pad printing machines and inks	High	Low: tagless labels only
Low-cost Mexican brands: Dyssa, Celi Colors, Quitexa, De la Rana	Retail, Mercado Libre, screen printing stores	Very low: plastisol white ~MXN 790/gallon	Mid with small shops
Direct Chinese suppliers (Alibaba)	Online sales with no local service	Very low: silicone ~€3.5–5.2/kg	Mid: same origin as CLT

Comex does not make textile screen printing inks: it is an architectural paint brand. Public prices as of October 2026, for reference only; CLT's price for Mexico is to be confirmed.

SWOT by competitor

Competitor	Strengths	Weaknesses	Opportunity for CLT	Threat to CLT
Avient (Wilflex, Rutland)	Global brand; certified inks approved by brands; full range	High price; imported; very expensive specialties	Silicones and special effects at a lower price; water-based	Export brands already have approved inks: switching is slow
Grupo Sánchez / ScreenTec	Domestic maker; low price; dealer network; Siltex silicones	No machines or hybrid line; focus on the domestic market	Turnkey package: machine + chemistry + service	Price war in consumables
Matsui	Benchmark in water-based, discharge and specialties	Imported; mid-high price	Water-based pastes are 54% of CLT's sales	Already inside large contractors and shops
Marabu, RUCO, Tampoprint	German quality; strong in graphics, pad printing and industry	Little offer for garment printing	Not head-on competitors in apparel	Tagless label and synthetics niche
Low-cost Mexican brands	Very low price; sold in every store	Uneven quality; no certifications or technical support	Growing shops that need consistent quality	Price war in small shops
Direct Chinese suppliers	Lowest price	No service, no local stock, no warranty	Local service, stock and Spanish-speaking technicians	Same origin: customers compare price against CLT

SWOT of our position against the competition (CLT + TID · VSP · CEB)

Strengths	Weaknesses
• **Only turnkey offer: hybrid machine + chemistry + service** • **CLT chemistry priced below premium brands** • **Service in Mexico and the U.S.; own importer (CEB)**	• CLT brand little known in Mexico • No export-brand ink approvals yet • Textile team still to be built

Opportunities	Threats
• **2026 tariffs on Chinese apparel: more local production** • **Export OEMs want high-value effects** • **Few local suppliers of silicones and special effects**	• Avient tied to brands' approved-ink lists • Low prices from ScreenTec and Mexican budget brands • DTF in short runs • Tariffs on Chinese inputs

Are they too expensive to compete? Premium brands (Avient, Matsui, Marabu, RUCO) cost more than Chinese chemistry: there CLT competes on price, but it must win brand approvals to get into contract manufacturing. The real price competition is Grupo Sánchez / ScreenTec, Mexican budget brands and direct Chinese suppliers; against them the argument is the package of machine, service and technical support.

9. Trade and regulation

- Importer: CEB, incorporated in Mexico, will act as importer of record for CLT equipment and consumables. Shipments will go directly China → Mexico to avoid U.S. tariffs (Section 301) on Chinese goods.
- 2026 tariffs: Mexico applies 5% to 50% on 1,463 tariff lines from non-FTA countries (including China); garments 35%, fabrics and yarns 15–35%. The rate for printing machinery (8443) and chemicals (3215, 3910), and possible PROSEC treatment, are to be confirmed with a customs broker.
- Import VAT (16%): creditable; it affects cash flow, not cost.
- Requirements: valid importer registry, applicable electrical standards (220 V equipment) and chemical safety data sheets.
- USMCA: 89% of textile exports go to the U.S.; maquiladoras demand certifications (OEKO-TEX) and fast response, which CLT can deliver.

10. The distributor group: TID México · VSP Printing · CEB

Company	Role in the project	Experience	Technicians
TID México (Querétaro)	Sales, installation and service in Mexico	12 years in industrial decoration: pad printing, hot stamping and industrial screen printing; turnkey projects	2
VSP Printing, Inc. (Sylmar, California)	Sales and service in the U.S.; technical backup for the group	20+ years in pad printing, hot stamping, digital and screen printing; color matching and process development	1
CEB (Mexico, VSP subsidiary)	Import of CLT equipment and supplies	Group importer incorporated in Mexico	—

Why we are the right partner

- Same business model: TID already sells turnkey projects combining machinery, consumables, training and service.
- Consumables-driven business: recurring sales of inks, foils and meshes are at the core of our operation.
- Local technical service in Spanish and preventive maintenance: what CLT cannot provide today from China.
- North America coverage with a single partner: Mexico (TID) and Los Angeles (VSP), one of the largest apparel-decoration hubs in the U.S.
- Strategic location: Querétaro is 1–2 hours from Guanajuato and 2–3 hours from Mexico City, State of Mexico and Puebla.
- In-house importer in Mexico (CEB) to control logistics, customs and inventory.

Gaps and how we close them

Gap	Action
Textile-sector experience	Create a textile division with 1–2 salespeople from the apparel-decoration industry
Textile chemistry (water-based, plastisol, silicone)	Technician certification at CLT's plant and support from its application lab
Technical capacity (3 technicians)	Hire 1 textile technician in year 1 and another in year 2
Presence at textile events	Booth at FESPA México / Expo Producción and ties with CANAIVE
Demonstration	Showroom in Querétaro or Mexico City with a running hybrid line

11. Go-to-market strategy

Phase	Period	Key activities
1. Launch	Months 0–6	Agreement signed, hiring of sales specialist, customer service and technician, training in China, initial inventory, silicone and paste sales to shops, launch at FESPA México
2. Demonstration	Months 6–18	Showroom, customer trials, first 2–5 hybrid lines, service contracts
3. Scale	Months 18–36	Coverage of priority clusters, second technician, spare-parts program, start of U.S. expansion (VSP)
4. Latin America	Year 3 onward	Central America, Colombia, Peru and Dominican Republic, subject to targets met

- Entry customers: shops that already own automatic presses (digital stations on their equipment) and uniform and sportswear makers (names and numbers on dark garments).
- Offer: turnkey package (equipment + chemistry + installation + training + service) with a customer-specific ROI calculation.
- Recurring revenue: consumables, spare parts and preventive-maintenance contracts.

Marketing plan (summary)

Goal: within 24 months, make CLT the reference brand for hybrid textile printing in Mexico and replicate the model in Latin America in year 3. Positioning: “Screen + digital in one pass, with chemistry and service in Mexico.” We do not sell a machine: we sell unlimited color at screen printing cost, effects DTF cannot achieve and a local technical partner.

Lever	What we will do
Account-based marketing	Sample with each of the 17 80/20 accounts’ own design, ROI calculator, demo and pilot on their fabric
Demo room	Querétaro as the sales engine: demos, effect workshops and the CLT Hybrid Academy (operator certification)
Content and digital	Effect reels (glass, embroidery, 3D), customer cases, LinkedIn for OEMs, WhatsApp for consumables
Events	FESPA México, demo room opening, “Hybrid Days” in 6 cities and PRINTING United with VSP
Offer	Starter, Pro and Full packages; “founding customers” program for the first 5 buyers; consumables as the entry point

Targets and budget	Year 1	Year 2	Year 3
Qualified leads	300	600	900
Demos	40	80	120
Shops buying CLT consumables	30	70	120
Marketing budget	US$50k	US$65k	US$80k

Latin America: wave 1 in El Salvador, Honduras and Guatemala (years 2–3), wave 2 in Peru and Colombia (year 3), conditional on Mexico (5 lines and documented cases). We ask CLT for a co-op marketing fund of 3–5% of purchases, Spanish brand material and an engineer at the launch. Full plan with calendar, budget and KPI dashboard in the attached Excel workbook.

Targets and budget: estimate to be validated with CLT.

12. Team structure and training

The textile division will run with a dedicated team, backed by the existing structure of TID (2 technicians), VSP (1 technician) and CEB (import and logistics).

Role	Responsibilities	When	Approx. monthly cost
Textile sales specialist	Prospecting by region, visits and demos, turnkey quotes, customer ROI calculation and closing	Year 1	~MXN 40,000 + commission
Customer service	Consumables orders and replenishment, after-sales follow-up, warranties, scheduling of service and training, satisfaction surveys	Year 1	~MXN 20,000
Textile technician	Installation, commissioning, preventive and corrective maintenance, production-trial support	Year 1 (+1 in year 2)	~MXN 30,000
Group support	TID (2) and VSP (1) technicians, import and logistics (CEB), administration	Existing	—

Machine and product training program

Training	Audience	Content
Initial, at CLT's plant	Sales, technicians and customer service	Operation and maintenance of hybrids, presses and DTG; textile chemistry (silicones, pastes, inks); special effects; technical certification
Machine training for customers	Customer operators and supervisors	Installation, operation, calibration, head cleaning, preventive maintenance and troubleshooting; included in the turnkey package
Product (consumables) training	Customers and prospects	Use of silicones (3D, glass-like, embroidery-like), water-based pastes, curing, wash tests and effect recipes; workshops in the demo showroom
Ongoing updates	Internal team and customers	New CLT products and models, remote sessions with CLT engineers, annual refresher

Monthly salaries before benefits (~35%). Training can be offered for a fee to customers whose machines were not purchased through the group.

13. Initial investment (estimate)

Item	Light	Base (recommended)	Full
Demo equipment	US$0 (CLT consignment or anchor shop)	US$130k (press + hybrid station, 30–40% discount)	US$230k (press + hybrid + 6-station DTG)
Import (freight, insurance, broker, duty)	—	US$20k	US$40k
Showroom (220 V, compressor, curing, ventilation)	US$5k	US$25k	US$40k
Initial consumables inventory	US$20k	US$35k	US$60k
Spare parts (heads, boards)	US$10k	US$20k	US$35k
Training at CLT's plant (2–3 people)	US$8k	US$12k	US$15k
Launch (FESPA, web, samples)	US$10k	US$20k	US$30k
Total initial investment	**~US$53k**	**~US$262k**	**~US$450k**

Year-1 operating expenses (base case): ~US$131k, including a textile sales specialist (~MXN 40,000/month plus commission), customer service (~MXN 20,000/month), a textile technician (~MXN 30,000/month), benefits, ongoing training, trade shows, space and travel. Import VAT is creditable but affects cash flow.

14. Financial projection (base case, estimate)

Item	Year 1	Year 2	Year 3
Hybrid lines sold	2	5	8
Equipment margin (20% on US$150k)	US$60k	US$150k	US$240k
Consumables margin (35%)	US$34k	US$99k	US$209k
Operating expenses	-US$131k	-US$160k	-US$180k
Annual result	**-US$37k**	**+US$89k**	**+US$269k**
Cumulative result	**-US$37k**	**+US$52k**	**+US$321k**

- Assumptions: line price US$150k; distributor margin 20% on equipment and 35% on consumables; ~US$36k annual consumption per installed line; additional silicone and paste sales to shops without hybrid lines.
- Base case: the ~US$262k investment is recovered during year 3.
- Conservative case (50% of base sales): positive results from year 3 and payback in 5+ years. CLT's support on demo equipment and inventory is therefore decisive.

15. Proposed terms with CLT

What we request from CLT

- Exclusive distribution in Mexico; extension to Latin America (and U.S. coordination through VSP) subject to targets.
- Distributor pricing that allows ~20% margin on equipment and ~35% on consumables.
- Demo equipment on consignment or at a 30–50% discount.
- Initial consumables inventory on consignment or with 90-day credit.
- Free technician training and certification; access to CLT's application lab.
- Shared support for trade shows (FESPA México) and samples.
- Referral to TID / CEB of all Mexican (and Latin American) leads generated by CLT's website and trade shows.

What the group commits to

- Import, local inventory and logistics through CEB.
- Demo showroom, Spanish-language technical service and preventive maintenance.
- A dedicated textile team: sales specialist, customer service and technician.
- A machine and product training program for customers.
- Proposed minimum sales targets: 2 lines in year 1, 5 in year 2 and 8 in year 3, plus consumables volume to be agreed.
- Quarterly reports on market, pipeline and customer satisfaction.

16. Risks and mitigation

Risk	Mitigation
Contracting textile industry and cash-strapped customers	Phased investment, digital stations on existing presses and financing
DTF competition in short runs	Focus on volume (500–5,000 pieces) and effects DTF cannot achieve
Tariffs and regulatory changes	Confirm tariff lines with a customs broker; evaluate PROSEC; direct import through CEB
Group's textile learning curve	Certification at CLT, hiring industry staff and CLT remote support
Equipment lead time (~1 month)	Spare parts and consumables inventory in Mexico
Exchange rate	Pricing in U.S. dollars and hedging where applicable

17. Expansion: United States and Latin America

- United States (VSP Printing, Los Angeles): CLT already exhibits at PRINTING United; VSP can provide local service and lead follow-up. The impact of U.S. tariffs on Chinese goods must be assessed.
- Latin America (year 3 onward): preliminary priority on Central America (export maquila), Colombia, Peru and the Dominican Republic; a detailed analysis will be delivered in the next stage of the study.

18. Next steps

- Receive CLT's formal quotation (CLT-016B, CLT-012R, SM60-85 press and consumables) to replace the estimates.
- Meeting with CLT's owners to review distribution terms.
- Confirm with a customs broker the tariff lines and duties for import through CEB.
- Validate consumption and pricing with 10–15 Mexican shops and manufacturers.
- Sign a letter of intent and define the 6-month launch plan.

Appendix: CLT samples

Photos of CLT's PRINTING United 2026 booth (Las Vegas), taken by VSP Printing during its meeting with CLT, and of CLT production samples.



Booth C3397: automatic carousel with a digital station running



CLT corporate brochure (code 301618)



Digital watercolor over white base on a colored garment



Digital photorealism on a dark garment



Full-color photographic collage



Breathable digital print on a dark garment



CLT pastes: high build 511-1, puff MP399, cold foil 105-3



Sports crest with relief and shimmer on polyester



Spot-color screen print on a colored garment



Relief, gold foil and metallic sparkle combined

Techniques were identified visually and should be confirmed with CLT.

Appendix: sources

- CLT — garmentprintingpro.com (international site) and dgclt.com (corporate).
- CLT — 2025 annual report, Shenzhen Stock Exchange (code 301618).
- INEGI — Conociendo la industria textil y de la confección 2024.
- CANAINTEX — Statistical information, May 2026 (2025 close).
- FESPA México — Overview and challenges of the Mexican textile industry 2025.
- Decree on tariffs for non-FTA countries (in force since January 1, 2026); El País, El Economista, Expansión.
- Equipment price references: public U.S. distributors (Texsource / M&R).
- Inks: avientspecialtyinks.com, screentec.com.mx, sanchez.com.mx, casadiaz.com.mx (Matsui), marabu-tintas.es, ruco-druckfarben.de (distributors), tampoprint.com; prices from screenprinting.com, spsi.com, graficosleo.com.mx, Mercado Libre and Alibaba (October 2026).